

Attachment(s) 1

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Authority for Personal Data
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Registered

[CONFIDENTIAL]

Date

November 26, 2020

Our reference

[CONFIDENTIAL]

Your letter dated

February 21, 2020

Contact person

[CONFIDENTIAL]

Your reference

[CONFIDENTIAL]

Subject

Decision on objection regarding fine [CONFIDENTIAL]

Dear [CONFIDENTIAL],

Hereby you receive the decision of the Authority for Personal Data (AP) on your objection dated January 10, 2020, supplemented by letter dated February 21, 2020. The objection is directed against the decision of the AP dated December 4, 2019 (reference: [CONFIDENTIAL]) to impose an administrative fine on [CONFIDENTIAL]. On September 3, 2020, a hearing took place at the office of the AP, during which you further explained the position on behalf of [CONFIDENTIAL].

1.

The primary decision

1. By decision of December 4, 2019 (hereinafter also: the contested decision), the AP imposed an administrative fine of € 725,000 on [CONFIDENTIAL] for violating Article 9, paragraph 1, of the General Data Protection Regulation (hereinafter: GDPR). The AP concludes in the contested decision that [CONFIDENTIAL] violated the prohibition of Article 9, paragraph 1, GDPR from May 25, 2018, to April 16, 2019, by processing biometric data of its employees without being able to invoke an exception from Article 9, paragraph 2, GDPR.

2.

Assessment of your grounds for objection

2. The AP assesses, pursuant to Article 7:11 of the General Administrative Law Act (Awb), based on your objection, whether it rightly proceeded to impose an administrative fine in the primary decision. The relevant legal framework is included as an attachment to this decision.

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Introductory considerations

Reason for investigation

3. [CONFIDENTIAL] is an (international) company specialized in [CONFIDENTIAL].¹ Following a

report received by the AP on July 5, 2018, regarding the collection of fingerprint scans by [CONFIDENTIAL] from its staff, the AP initiated an investigation. In this context, company visits were made to [CONFIDENTIAL] on November 6, 2018, and March 18, 2019.² This investigation resulted in a research report and the imposition of an administrative fine. [CONFIDENTIAL] has lodged an objection against the fine decision, as noted earlier. The objection primarily concerns the imposition of the administrative fine on the grounds that there was no violation of the GDPR and, alternatively, against the amount of the fine.

Prohibition on processing biometric data

4. Following the investigation by the AP, it has been established that [CONFIDENTIAL] processed biometric data of its employees by recording and storing so-called fingerprint scans. [CONFIDENTIAL] has explicitly acknowledged this in its objection.³ For a further elaboration of the method of processing, the AP suffices in the context of the objection procedure with a reference to paragraph 3.6 ('Recording of fingerprints') and paragraph 3.7 ('Storage of fingerprint templates') of the final research report dated September 4, 2019 (hereinafter: the research report), as well as to the report of the technical investigation that is part of the research report as Appendix 4. [CONFIDENTIAL] is to be regarded as the data controller as referred to in Article 4, part 7, of the GDPR, which [CONFIDENTIAL] does not dispute.⁴

5. The fingerprint scans processed by [CONFIDENTIAL] are biometric (personal) data as referred to in Article 4, part 14, of the GDPR. Such data is considered a special category of personal data under the GDPR.⁵ They are sensitive because they provide unique information about an individual's physical, physiological, or behavioral characteristics. Unlike, for example, personal passwords, which can be changed periodically to prevent misuse if it is found that unauthorized persons have gained access, biometric data, such as fingerprints⁶, are immutable identifiers. Due to the sensitivity of this type of data, a prohibition on processing applies unless an exception is applicable.⁷

1 [CONFIDENTIAL]

2 Regarding the course of the investigation, reference is made to p. 2 and 3 of the primary decision as well as to paragraph 1.2, p. 4 of the final research report of the AP mentioned hereafter.

3 See p. 2 of the objection letter from [CONFIDENTIAL]

4 For further substantiation of the position that [CONFIDENTIAL] qualifies as a data controller, reference is made - for the sake of completeness - to paragraph 5.2 of the research report and paragraph 3.2 of the fine decision.

5 This personal data deserves specific protection because the context of its processing may pose significant risks to fundamental rights and freedoms (recital 51 GDPR).

6 Even if a fingerprint - as in the present case - is converted into a code, it is still considered a (biometric) personal data. See Rb. Amsterdam August 12, 2019 (ECLI:NL:RBAMS:2019:6005).

7 Article 9, paragraph 1 in conjunction with paragraph 2, GDPR.

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6. The investigation by the AP further revealed that [CONFIDENTIAL] had stored - and thereby processed - biometric data of 250 employees on 25 May 2018, which has gradually been supplemented to 337 employees. [CONFIDENTIAL] processed the biometric data until at least 16 April 2019.⁸

Grounds for objection

7. In its initial objection letter as well as in its two pleadings, one of which was sent before the objection hearing and the other submitted during the hearing, [CONFIDENTIAL] raised various objections. These are summarized below and responded to by the AP.

Objection 1: No violation, employees gave consent

8. In its objection letter, [CONFIDENTIAL] argues that - with one exception - all employees, after being informed, gave explicit (and voluntary) consent for the taking of fingerprint scans. The fingerprint scanning system was used alongside the so-called drop system. There was always an alternative to the fingerprint scan. According to [CONFIDENTIAL], this constitutes a lawful exception to the processing prohibition and therefore does not constitute a violation of Article 9 GDPR. The AP does not agree with [CONFIDENTIAL] on this point and explains this below.

(Explicit) Consent according to the GDPR

9. The general prohibition on the processing of special personal data does not apply if the data subject gives explicit consent for the processing.⁹ The GDPR sets out a number of requirements for (explicit) consent. According to Article 4, second paragraph, under 11, GDPR, consent is only present if there is 1) a free, 2) specific, 3) informed, and 4) unambiguous expression of will 5) by which the data subject accepts the processing of personal data concerning him or her through a statement or a clear affirmative action. Furthermore, Article 7 GDPR imposes additional conditions on consent. For instance, the data controller must be able to demonstrate that the data subject has given consent.¹⁰

10. In addition to the aforementioned requirements, the consent that may apply as an exception to the processing prohibition of special personal data under Article 9 GDPR must also be given explicitly. The EDPB guidelines on consent¹¹ provide further clarification on the term 'explicit consent' in recitals 91-102. According to recital 93, 'explicit consent' refers to the manner in which consent is expressed by the data subject. This may include written consent, signing (possibly with an electronic signature), the data subject sending an email, or, for example, consent with two-factor authentication. Although

8 See recital 64 (pp. 23-24) of the investigation report dated 4 September 2019.

9 Article 9, first paragraph in conjunction with the second paragraph, introductory phrase, and under a, GDPR.

10 Article 7, first paragraph, GDPR and recital 42 GDPR

11 'Guidelines 05/2020 on consent under Regulation 2016/679, version 1.1, adopted on 4 May 2020'.

See: <https://edpb.europa.eu/our-work-tools/our-documents/guidelines/guidelines-052020-consent-and-regulation-2016679> and

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Oral consent is not excluded in advance; the EDPB sees this as a theoretical possibility because it is difficult for the data controller to prove that all conditions for consent were met at the time it was given. In that case, it cannot be demonstrated that consent was given as required by Article 7, paragraph 1, of the GDPR, and the accountability obligation under Article 5, paragraph 2, of the GDPR is also not fulfilled.

Consent not established or demonstrated

11. In the present case, it has not been established, and [CONFIDENTIAL] has also not demonstrated, that all its employees were asked for consent. And insofar as consent may have been given, it has not been demonstrated that the consent was free, specific, and/or informed.

12. In this regard, the AP first notes that the director of [CONFIDENTIAL] stated during the hearing regarding the objection that no written consent was requested. This corresponds with the findings of the AP during the investigation phase. The AP did not find any documentation of policies or procedures evidencing the granting or refusal of consent as a result of its investigation. The AP notes that "indicating via the employee handbook that clocking in will take place in the future using fingerprints" cannot be considered as asking—let alone obtaining—(explicit) consent based on prior information provided about this intended data processing. The objection raised by [CONFIDENTIAL] in this regard, which amounts to the assertion that valid consent can be obtained this way, is therefore

deemed unfounded by the AP. Even if this could be considered consent, which the AP expressly disputes, it has not been demonstrated that there was free, specific, and informed consent as required by the GDPR.

13. The absence of consent (in the sense of the GDPR) is confirmed by the findings of the AP's supervisors. In the reports they prepared from conversations with employees of [CONFIDENTIAL], it appears that some employees stated that either no consent was requested, or it was not given, or they could not remember whether consent was given. It can be concluded from this that there was no clear process in place whereby consent was requested if consent was indeed requested, and there was no evidence of prior information provided to employees about the specific processing of personal data, and it has not been demonstrated that consent was given. Therefore, in those cases, consent as such has not been established.

14. Although two employees stated that they gave oral consent and [CONFIDENTIAL] also refers to this in its objection, this consent cannot be regarded as valid consent. Indeed, it has not been demonstrated that the specific conditions of the GDPR for consent, namely free and informed consent, were met.

12 See p. 6 of the hearing report. Earlier during the company visit on November 6, 2018, he indicated that he did not know whether consent had been requested at all (see p. 2 of the report of the conversation that took place on November 6, 2018, with [CONFIDENTIAL], document piece 17 of the investigation file).

13 Refer to paragraphs 83 – 104 of the investigation report.

14 See the conversation reports that are part of the investigation file as document pieces 14, 15, and 16.

15 See the conversation reports that are part of the investigation file as document pieces 34 and 35.

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An employee could no longer remember what information was provided regarding the use of the fingerprint scan, while another stated that they had not received any information.¹⁶ Thus, it has not been demonstrated that the employees were informed prior to giving consent about the purpose of the processing, the retention period, and the security of the data, and therefore there is no informed consent.

15. Furthermore, it has not been demonstrated for any employee of [CONFIDENTIAL] that there was 'free' consent. In this context, it is important to note that this would involve consent given in the context of an employment relationship. This creates a dependency relationship in which an equal position between employer and employee is lacking.¹⁷ In such a case, it is assumed that free consent is not present, or at least it is unlikely that an individual can freely give consent.¹⁸ Not giving consent could indeed have negative consequences for the employment relationship and/or further career opportunities. The AP refers for further substantiation of this position to the extensively reasoned considerations in paragraph 3.3.3.1 (pp. 12-15) of the contested decision. This means that if (oral) consent was given by some employees of [CONFIDENTIAL], this consent, given the dependency relationship between the employees and their employer [CONFIDENTIAL], is deemed not to have been freely given. [CONFIDENTIAL] has not made the contrary plausible. Therefore, it may be assumed that free consent is not present.

Conclusion on consent

16. In light of the above, the AP concludes that the contested decision rightly established that [CONFIDENTIAL] processed biometric data of its employees without being able to invoke an exception. There is no evidence of (explicit) consent from the individuals for the processing of their fingerprints. It has not been demonstrated that the employees of [CONFIDENTIAL] were asked for and

granted consent, and insofar as there were employees who gave (oral) consent, it has not been demonstrated and there is also no informed and free consent due to the employee-employer relationship. This means that [CONFIDENTIAL], because it cannot invoke an exception, has acted in violation of the processing prohibition as referred to in Article 9, paragraph 1, of the GDPR. In light of Article 58, paragraph 2, introductory phrase and under (i), in conjunction with Article 83, paragraph 5, introductory phrase and under (a), GDPR and Article 14, paragraph 3, UAVG, the AP is authorized to impose a fine for this violation.

Other grounds for objection regarding consent

17. [CONFIDENTIAL] has raised several other grounds for objection¹⁹ on the basis of which it believes that there is consent in the sense of the GDPR. Although the AP is of the opinion that, as previously considered, in the case of [CONFIDENTIAL] the appeal to valid consent does not apply due to the lack/cannot demonstrate informed as well as free consent,

16 See the conversation reports that are part of the investigation file as documents 34 and 35.

17 In GDPR terminology, this is referred to as a 'clear imbalance'. See Recital 43 of the GDPR.

18 See Guidelines on Consent pursuant to Regulation 2016/679 dated November 28, 2017, pp. 7-8, as last revised and adopted by the Article 29 Data Protection Working Party on April 10, 2018.

19 These have been (partly) raised in the two written submissions, one of which was sent before the objection hearing and the other submitted during the hearing.

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and the other objections cannot dismiss this, the AP nevertheless sees reason to respond briefly. The response serves as a subsidiary position and also provides further clarification on the scope of the concept of consent.

Consent cannot be inferred from the behavior of employees

18. During the hearing on the objection, [CONFIDENTIAL] stated that employees were informed in advance, during the New Year's speech of 2017 and via the staff magazine, about the use of fingerprint scans, and that consent can be inferred from the behavior of the employees because they allowed their fingerprints to be scanned and (voluntarily) used time registration through the fingerprint.

19. The AP does not follow [CONFIDENTIAL] in its objection and notes that the fact that employees allowed their fingerprints to be scanned for the purpose of time registration is insufficient to conclude that consent can be inferred from this. Thus, there is no unequivocal expression of will by which the data subject accepts the relevant processing through a statement or an unequivocal active action, as required by the GDPR. Inferring consent from certain behaviors (of employees) does not, in the opinion of the AP, align with the specific requirements for consent set by the GDPR legislator. The same applies to the argument of [CONFIDENTIAL] that employees were (unilaterally) informed during the New Year's speech and via the staff magazine that a fingerprint scan would be used. Even in that case, there is no unequivocal expression of will. On the contrary, it implies that there was a unilateral decision by the employer and thus rather an obligation.

Alternative to fingerprint scan and the statement of the system administrator/security officer

[CONFIDENTIAL]

20. [CONFIDENTIAL] argues that an alternative, the so-called 'drop', could also be used. In this context, [CONFIDENTIAL] also referred to a written statement from its system administrator/security officer. It is stated therein that there was voluntariness in the use of the fingerprint. A clear indication of this, according to the system administrator/security officer, lies in the circumstance that an employee stated that both the drop and the fingerprint scan could be used.

21. The AP cannot follow [CONFIDENTIAL] in its argument. The mere fact that an alternative could

also be used does not mean that there is consent for processing a fingerprint scan of an employee. This 'derived consent' also does not, by its nature, align with the specific requirements for consent set by the GDPR legislator, including the requirement for an unequivocal expression of will.

Ground for objection 2: Value of the statements recorded by the AP from employees

22. [CONFIDENTIAL] argues that the statements of its employees were recorded by employees of the AP and were not signed by the employees of [CONFIDENTIAL], which means it cannot

20 See p. 3 of the pleading note submitted during the hearing on the objection.

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to verify whether the relevant employees have indeed stated as recorded by the employees of the AP. The AP understands this objection as suggesting that [CONFIDENTIAL] questions the value of the conversation records established by the AP employees and therefore these should not be used to support the AP's position regarding the absence of consent. In this regard, the AP notes the following.

23. The relevant supervisory officials have explicitly stated that they prepared the report of official actions truthfully. They signed the report with their signature. All these AP employees have also taken an official oath or made an official promise. Therefore, the AP has no reason to assume that the conversation records prepared and signed by the supervisory officials are incorrect or contrary to the truth and that these records should be assigned no or reduced value.

Objection Ground 3: Parliamentary Questions Regarding the Use of Finger Scans

24. [CONFIDENTIAL] also argues that around the implementation of the GDPR it was unclear whether and when the processing of biometric data was permitted. [CONFIDENTIAL] refers to answers from the State Secretary for Social Affairs and Employment to parliamentary questions regarding this matter. Here, [CONFIDENTIAL] concludes that the use of finger scans for time registration is only permitted if there is an alternative available.

25. The AP does not endorse this interpretation of [CONFIDENTIAL]. In the opinion of the AP, the State Secretary leaves no doubt that it is not permitted to process finger scans for time registration, even if an alternative is available. The State Secretary indicates that: "(...) for the purpose of time registration and clock systems, there must always be an alternative, and that must be offered exclusively. This concerns use that is not related to authentication for security purposes." (...). (underlining added by the AP). In short, a finger scan may (and may have) not be offered or used for the purpose of time registration and clock systems - for whatever purpose [CONFIDENTIAL] has used the finger scan - precisely because there was an alternative available that is sufficient for time registration and clock systems.

Objection Ground 4: [CONFIDENTIAL] is not at fault, absence of all guilt

26. [CONFIDENTIAL] argues that, to the extent that there may be a violation, no blame can be attributed to it because there is an absence of all guilt (AVAS). In this context, it argues

21 Apart from that, the AP notes - referring to paragraphs 5 and 6 on pages 4 and 5 of the investigation report of September 4, 2019 - that the conversation records were sent to [CONFIDENTIAL] on February 11 and May 9, 2019. Although [CONFIDENTIAL] could have responded to this, it did not see any reason to do so at that time.

22 Letter from the State Secretary for Social Affairs and Employment dated March 29, 2018. See: <https://www.government.nl/documents/parliamentary-documents/2018/03/29/response-to-parliamentary-questions-about-clock-systems-based-on-fingerprints>

23 See p. 4 (par. 2.4) of the pleading note of [CONFIDENTIAL] for the hearing in objection as submitted during the hearing on September 3, 202.

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that the supplier of the fingerprint scanning equipment – [CONFIDENTIAL] – has indicated that the use of fingerprint scans was in accordance with the GDPR. The AP believes that [CONFIDENTIAL] is not entitled to invoke AVAS and considers the following.

27. If the offender can demonstrate that AVAS applies, they cannot be blamed, and Article 5:41 of the General Administrative Law Act (Awb) prevents the imposition of a fine. However, in the opinion of the AP, [CONFIDENTIAL] has not succeeded in this regard. The AP emphasizes in this context that [CONFIDENTIAL] is primarily responsible for the correct and timely compliance with the GDPR. Seeking advice does not relieve it of its own responsibility regarding the proper and timely compliance with the provisions of the GDPR.²⁴

28. Although, under certain circumstances, a fruitful invocation of AVAS may be possible if reliance was placed on advice from a third party, strict conditions apply for this - as follows from case law. AVAS may apply if the suspect relied on the advice of a person or entity to whom such authority can be attributed that the suspect could reasonably trust the soundness of the advice.²⁵ The AP holds the view that [CONFIDENTIAL] cannot be regarded as such an entity. Factors that may play a role include: (i) the independence and impartiality of the advisor; (ii) the specific expertise of the advisor; (iii) the complexity of the matter for which advice is sought; and (iv) the manner in which and the circumstances under which the advice was obtained.

29. In light of the above, the AP considers that [CONFIDENTIAL] cannot be classified as independent and impartial. As a (regular) supplier of [CONFIDENTIAL], [CONFIDENTIAL] primarily pursues a commercial interest. This means that it cannot be regarded as independent or impartial. Furthermore, [CONFIDENTIAL] is not an advisor with specific legal expertise in the field of privacy law and the GDPR. The AP therefore concludes that [CONFIDENTIAL] should not have relied on the advice of [CONFIDENTIAL] and that AVAS, or reduced culpability, is not applicable.

Ground for objection 5: The penalty criteria were not assessed in the primary decision in light of the question of whether a fine could be waived

30. [CONFIDENTIAL] argues that the contested decision does not indicate that the AP assessed the criteria from Article 83, paragraph 2, GDPR, Article 7 of the penalty policy rules, and the guidelines of WP29 in the context of the question of whether a fine was appropriate. The AP, [CONFIDENTIAL] contends, only applied the criteria in the context of determining the amount of the fine. Subsequently, [CONFIDENTIAL] lists the relevant circumstances in its opinion for all criteria from the aforementioned articles and concludes that the AP should have refrained from imposing a fine. The AP does not follow this argument and considers the following.

24 See: CBb May 20, 2016 (ECLI:NL:CBB:2016:119), para. 3.2.3 and CBb January 25, 2017 (ECLI:NL:CBB:2017:14), para. 5.2.

25 See: HR April 4, 2006, HR May 23, 1995 (NJ 1995, 631) and HR December 13, 1960 (NJ 1961, 416).

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31. The Dutch Data Protection Authority (AP) has discretion in choosing an enforcement instrument, but in the event of a violation of the GDPR - as can be inferred from recital 48 of the GDPR - it must

explicitly consider the imposition of an administrative fine.

32. In the contested decision, the AP has extensively outlined the facts and circumstances on which it found the imposition of an administrative fine to be justified. It has taken into account all (relevant) criteria as included in Article 83, paragraph 2, of the GDPR.²⁶ In section 4.3.1 (pp. 20-21) of the contested decision, it has elaborated on the nature, severity, and duration of the infringement. It was deemed particularly important that this case involved the processing of special personal data for which a high level of protection applies, that the processing was structural in nature, occurred over a longer period, and involved the processing of fingerprint scans of more than three hundred (former) employees. Based on this, the AP concluded in the contested decision that there was indeed a serious violation for which a fine was appropriate. In accordance with the fine policy rules, the basic fine was taken as the starting point. This basic fine serves as a (neutral) benchmark. Against the background of the relevant factors listed in Article 83, paragraph 2, of the GDPR, the AP saw no reason to increase or decrease this basic fine. It has also justified this position. The AP is of the opinion that the contested decision does indeed demonstrate that the relevant criteria have been assessed. Not only in the context of whether a fine was appropriate, but also whether this should lead to an increase or decrease of the fine, albeit that the AP weighs the relevant factors differently than [CONFIDENTIAL].

33. Where [CONFIDENTIAL] believes that the assessment against the relevant criteria does not justify a fine, or at least a lower fine, the AP is of the opinion that the outcome of the assessment against the criteria - regarding the potential mitigation or increase of the basic fine - is ultimately neutral because they either do not carry sufficient weight (no previous violations, always cooperated and been transparent, no financial advantage gained from the processing, unaware of the violation) or are not relevant in this case (absence of intent, the processed biometric data were well secured, the individuals involved suffered no damage, [CONFIDENTIAL] is ISO certified) and therefore sees no reason to refrain from imposing a fine, nor to mitigate it.

34. In light of the above, the AP further notes that this objection from [CONFIDENTIAL] is essentially a repetition of what it has also argued in its opinion. In addition to the above motivation, the AP also refers to its extensively reasoned response in section 4.3.3 (p. 21) of the contested decision.

Ground for objection 6: AP violates the principle of equality

35. [CONFIDENTIAL] invokes the principle of equality and refers to various cases where no fines were imposed. For instance, the AP has addressed the use of facial recognition via cameras in the

²⁶ These criteria are the same as those included in Article 7 of the fine policy rules. The guidelines of the WP29 provide further clarification on the criteria from Article 83, paragraph 2, of the GDPR.

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The supermarket sector was dealt with a warning. Furthermore, [CONFIDENTIAL] points out that [CONFIDENTIAL] and [CONFIDENTIAL] were not fined, while these chains also processed fingerprint scans of their employees. The AP believes that these cases differ in relevant aspects and that this obstructs a fruitful invocation of the principle of equality. It justifies this as follows.

36. The AP first notes that case law indicates that the principle of equality in the context of imposing administrative fines does not extend so far that the authority to impose them is exercised unlawfully solely because another potential offender has not been fined. This may be different if there is unequal treatment of similar cases that indicates arbitrariness in the enforcement practice of the competent administrative body.²⁷ According to the AP, such a situation does not arise because, due to relevant differences with the current case, there are no similar cases.

The supermarket case

37. A relevant difference with the case of the supermarket sector concerns the reason and purpose of the processing. The reason involved a specific case of a supermarket where cameras with facial recognition were used to more easily exclude shoplifters with a shopping ban who had already been repeatedly apprehended and/or prosecuted, in order to enforce the imposed shopping ban. This was for the protection of the store staff, customers, and property. It is important to note that shoplifting is often accompanied by significant nuisance and violence. Although the AP also believes that in the case of the supermarket, in light of the (GDPR) the necessity (from a security perspective) for processing biometric data in the form of facial recognition was lacking, it sees in the reason and processing purpose at the supermarket a relevant difference compared to the processing purpose of time registration and clocking system at [CONFIDENTIAL]. This difference means that there are no similar cases and, in the opinion of the AP, also explains and justifies a different treatment. To the extent that there may be a similarity, it cannot be attributed to arbitrariness on the part of the AP.

Cases [CONFIDENTIAL] and [CONFIDENTIAL]

38. Regarding the cases [CONFIDENTIAL] and [CONFIDENTIAL], the AP considers that there are also no similar cases there. Unlike the current case, the aforementioned matters were never brought to the AP by means of a complaint (signal or complaint with a request for corrective measures). From case law, it can be inferred that in cases where no enforcement has been requested and no sanction decision has been made, this does not mean that there has been a violation of the principle of equality in relation to cases in which, as in this case, action has been taken following a complaint.²⁸

39. In connection with the above, the AP explicitly notes that it is confronted annually with a large number of complaints in the form of signals and complaints requesting corrective measures. This number increases each year. In 2019, it involved more than 27,000.

27 See CBb August 14, 2018, para. 7.2 (ECLI:NL:CBB:2018:401).

28 See ABRvS March 11, 2020, para. 4.1 (ECLI:NL:RVS:2020:738).

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complaints.²⁹ It should be noted that the supervisory scope of the AP is nearly limitless. It encompasses all sectors of society, pertains to both the private and public sectors, and includes both legal entities and natural persons. In contrast, the available human resources and financial means of the AP are limited, and the AP strives to deploy them as balanced as possible. It is therefore inevitable that not all (potential) cases will be taken up and can be investigated (equally thoroughly).³⁰ Such a form of prioritization is in accordance with the applicable case law.³¹

Case [CONFIDENTIAL]

40. In the pleading note submitted during the objection hearing, [CONFIDENTIAL] further refers to a case from [CONFIDENTIAL]. As far as the AP has been able to ascertain, this was a case from 2015 that fell under the old legal regime (the Wbp). At that time, different rules applied to the processing of biometric data, making this case not comparable for that reason alone.³²

Ground for objection 7: The time elapsed after the first company visit cannot be attributed to [CONFIDENTIAL] in the context of the duration of the violation and the amount of the fine

41. During the two company visits of the AP to [CONFIDENTIAL], officials of the AP stated that "there may possibly be a violation." After the first visit, [CONFIDENTIAL] claims to have stopped using the fingerprint scan, and after the second visit, all stored data was deleted. [CONFIDENTIAL] also points out that the AP could have taken action when it received the signal from the notifier on July 5, 2018, and should have informed [CONFIDENTIAL]. Therefore, in [CONFIDENTIAL]'s opinion, the time elapsed is wrongly attributed to them in the contested decision as a justification for the amount of the fine.

42. Regarding this ground for objection, the AP notes - as it already did earlier in this decision - that [CONFIDENTIAL] is itself responsible for compliance with the applicable laws and regulations.³³ The fact that the supervisory officials of the AP allegedly stated to [CONFIDENTIAL] that "there may possibly be a violation" does not lead to a different conclusion. It is [CONFIDENTIAL]'s own responsibility to decide whether or not to delete the stored data after the first visit. The choice and any consequences thereof should, in the AP's opinion, remain the responsibility and risk of [CONFIDENTIAL]. The AP does not see why the relevant time elapsed should not be attributed to [CONFIDENTIAL]. This also applies to what [CONFIDENTIAL] argues regarding the signal that the AP received on July 5, 2018. The AP notes that the signal must first be investigated and verified before deciding how the AP will further address this signal and inform [CONFIDENTIAL] about it. The AP is not obliged to inform [CONFIDENTIAL] immediately, as they suggest.

29 See: <https://autoriteitpersoonsgegevens.nl/nl/nieuws/forse-stijging-privacyklachten-2019>

30 See: Policy rules prioritization of complaint investigations by the AP (Stcrt. 2018 no. 54287)

31 See: ABRvS October 19, 2016 (ECLI:NL:RVS:2743), ABRvS June 4, 2014

(ECLI:NL:RVS:2014:1982), and CBb, August 20, 2010 (ECLI:NL:CBB:2010:BN4700).

32 See: [CONFIDENTIAL]

33 See: ABRvS, September 30, 2009, para. 2.6.2 (ECLI:NL:RVS:2009:BJ8935) and ABRvS May 16, 2007, para. 2.5.1 (ECLI:NL:RVS:2007:BA5215).

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Ground for objection 8: Established trust

43. [CONFIDENTIAL] argues that the sudden imposition of a fine by the AP is contrary to the message in its 2018 annual report, in which the AP indicates that it will focus on 'guidance' and warnings. The AP would not focus on enforcement in the first two years following the implementation of the GDPR, but rather on information and norm-transferring discussions. In response to the hearing, [CONFIDENTIAL] clarified that with respect to this objection, it specifically refers to page 13 of the 2018 annual report and page 6 of the 'Supervision Framework Authority Personal Data, principles for supervision 2018-2019'. [CONFIDENTIAL] also points to the warning that was given to the supermarket sector. According to [CONFIDENTIAL], the fine has therefore been imposed in violation of the principle of trust.

44. In this regard, the AP notes the following. In the 2018 annual report, on page 12 et seq. under the heading 'Interim report supervision 2018-2019', the manner in which the AP has executed and will execute its supervisory duties is discussed. There is also a reference to the Supervision Framework of the AP. This document outlines the principles that the AP applies in the context of its supervisory duties. Page 13 of the AP's 2018 annual report shows that providing 'guidance' is one of the possibilities through which compliance can be achieved. However, it is not limited to this. On page 16 of the 2018 annual report, the possibility of enforcement action is also explicitly mentioned, for example, through the imposition of a fine.

45. Regarding page 6 of the Supervision Framework to which [CONFIDENTIAL] refers, the AP notes that the relevant passage states (underlining added): "In the coming years, the AP will also focus on promoting compliance with privacy legislation, among other things by providing 'guidance'." It follows from this that providing guidance is one of the possible ways in which the AP can promote compliance with privacy legislation, but it is not limited to this. Other forms of achieving compliance and enforcement are therefore not excluded. This is also explicitly stated elsewhere in the Supervision Framework. For instance, on page 6 (underlining added): "To be an effective supervisor, the AP applies various supervisory and enforcement instruments. This may include sending a warning letter, engaging in a norm-transferring discussion, initiating an investigation, imposing a penalty payment, or

imposing a fine.”

46. In light of the above, the AP is of the opinion that [CONFIDENTIAL] could not reasonably have relied on the expectation that a fine would be omitted because the AP, according to [CONFIDENTIAL], would solely focus on guidance or warnings. The assertion that the AP would do this cannot be inferred from the 2018 annual report or the AP's supervision framework. Given the nature and seriousness of the violation, as further elaborated in paragraph 31 above, the AP believes that there was indeed reason for enforcement action in this case.

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****Ground for objection 9: Application of the fine policy rules 2019****

47. [CONFIDENTIAL] argues that the AP incorrectly assessed its fine policy rules because these only came into effect on March 15, 2019, and the alleged violation occurred prior to that date. According to [CONFIDENTIAL], this is in violation of Article 5:4 of the General Administrative Law Act (Awb). The AP cannot endorse this interpretation and explains it as follows.

48. The AP applies fine policy rules with regard to the principle of equality and the prohibition of arbitrariness. In its opinion, it has rightly adhered to the fine policy rules when imposing the fine on [CONFIDENTIAL]. This also benefits [CONFIDENTIAL] because the alternative would be that no policy rules would apply at all, and based on Article 83, paragraph 5, of the General Data Protection Regulation (GDPR), only the maximum fine amount of €20,000,000 would provide guidance instead of the system of bandwidths that follows from the fine policy rules of 2019.

49. Regarding Article 5:4 Awb, the AP notes—by way of surplus—that this provision has not been violated because the behavioral norm (Article 9 GDPR) as well as the authority provision for imposing an administrative sanction (Article 58, paragraph 2, introductory part and under i, in conjunction with Article 83, paragraph 5, introductory part and under a, GDPR and Article 14, paragraph 3, UAVG) existed at the time the fine was imposed. This means that both the authority to impose a fine and the norm that was violated were already established in law at the time the violation occurred.

****Ground for objection 10: General and special prevention****

50. [CONFIDENTIAL] refers on pages 10 and 11 of the statement of defense that it sent to the AP prior to the hearing to both 'general prevention' and 'special prevention' and argues that these arguments cannot be the basis for the fine decision. Because a fine must be tailored to the circumstances of the case, 'general prevention' cannot be the basis for the fine. The basis of 'special prevention' is also incorrect because [CONFIDENTIAL] ceased the violations after the AP's company visits, and therefore the imposition of a fine was not necessary.

51. The AP notes the following in this regard. The reason a fine was imposed is that there was a violation of the GDPR, and the AP considers that violation—given its seriousness, involving biometric data of approximately 300 individuals in the context of an employer-employee relationship—to be worthy of a fine in this case. The imposition of the fine generally aims to prevent the offender from committing further violations in the future and also to deter others from doing so. This argumentation does not form the basis for imposing a fine. The basis for that is the violation by [CONFIDENTIAL] of Article 9, paragraph 1, GDPR and the authority of the AP to impose an administrative fine for this under Article 58, paragraph 2, introductory part and under i, in conjunction with Article 83, paragraph 5, introductory part and under b, of the GDPR and Article 14, paragraph 3, of the UAVG. Furthermore, the fact that a violation has ceased does not, contrary to what [CONFIDENTIAL] seems to suggest—

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not an obstacle to the imposition of a fine, as a fine may also be imposed for an infringement that occurred in the past.

Ground for objection 11: Amount of the fine

52. [CONFIDENTIAL] contends that if it must be assumed that an infringement has occurred and a fine would be justified, the fine should be mitigated due to a disproportion between the amount of the fine and the seriousness and degree of culpability. According to the accountant, the entire business result of [CONFIDENTIAL] for the year would have to be paid to cover the fine. In the pleading note, [CONFIDENTIAL] argues – also referring to the profit and loss account of 2019 and the audit statements of the accountant regarding the annual report³⁴ – that the amount of the fine represents ten times the (average) result of previous years. Furthermore, [CONFIDENTIAL] points to the negative (net) business result up to September 2020 of € [CONFIDENTIAL] as a result of the Corona pandemic.

53. The AP is of the opinion that this ground for objection has been partially validly raised and sees reason to mitigate the fine. The reason for mitigation is the reduced financial capacity of [CONFIDENTIAL] due to Corona. It considers the following in this regard.

54. In light of the mitigation of the fine, it is important that under Article 83, first paragraph, GDPR, the fine must be proportionate, among other things. Furthermore, taking into account Article 83, second paragraph, introductory part and under k, GDPR, account must be taken of any mitigating factor applicable to the circumstances of the case. The financial situation in which a company finds itself is a factor that is weighed to arrive at a proportionate fine. National law also requires this. In determining the amount of the fine, pursuant to Article 5:46, second paragraph, General Administrative Law Act (Awb), the principle of proportionality must be taken into account. In this context, the administrative body must, if necessary, consider the circumstances in which the infringement was committed. The parliamentary history of the Awb shows that (financial) capacity can be such a circumstance.³⁵ This has also been confirmed in case law.³⁶ If it appears from financial data submitted by the offender that the offender is disproportionately affected by the fine, the amount of the fine must be mitigated.³⁷

55. The AP is of the opinion that [CONFIDENTIAL] is disproportionately affected by the amount of the fine due to the Corona pandemic and that mitigation of the fine due to reduced financial capacity is indicated. In this regard, the AP has taken into account the annual accounts of 2018 and 2019 as well as the information provided by [CONFIDENTIAL] that provides insight into the financial consequences resulting from the Corona pandemic for the financial year 2020.

34 Included in the annual accounts of 2018 and 2019.

35 Parliamentary documents II, 2003/04, 29 702, p. 141.

36 ABRvS March 21, 2012, ECLI:NL:RVS:2012:BV9508 and HR March 28, 2014, ECLI:NL:HR:2014:685.

37 See ABRvS March 12, 2008, ECLI:NL:RVS:2008:BV9509.

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56. In light of the above, the AP first notes that [CONFIDENTIAL] has consistently reported positive operating results based on the submitted annual accounts for 2018 and 2019.³⁸ Considering its own capital position, it also has substantial reserves and receivables.³⁹ Furthermore, the AP notes that at the time a fine is imposed - in this case, December 4, 2019 - the entity to which the fine is imposed can and must take into account the payment of that fine, for example by reserving an amount for it.⁴⁰

57. Nevertheless, the AP acknowledges that the Corona pandemic has had a substantial negative

impact on the financial capacity of [CONFIDENTIAL]. This impact has been made clear through internal figures. Up to and including September 2020, there is a negative (net) operating result of € [CONFIDENTIAL]. Although these are preliminary figures that have not yet been assessed by an external auditor, the AP, considering the exceptional circumstances brought about by the Corona crisis, sees no reason at this time to disregard these figures or to deem them unreliable.⁴¹ It is also uncertain how long the effects of the Corona pandemic will continue to affect the operating results of [CONFIDENTIAL].

58. Regarding a reduction of the fine due to the severity and degree of culpability, the AP sees no reason for such a reduction. As for the severity of the violation, the AP refers to paragraph 32 of this decision on objection as well as to the primary decision. In the primary decision, the AP has extensively explained the facts and circumstances on which it found the imposition of an administrative fine justified and subsequently motivated the amount of the fine based on the fine policy rules. The AP still endorses that motivation. This also applies, with reference to the motivation in paragraph 32 of this decision on objection, regarding the (degree of) culpability of [CONFIDENTIAL].

59. Given the aforementioned special circumstances and the resulting limited financial capacity of [CONFIDENTIAL], the AP sees reason to substantially reduce the fine from € 725,000 to € 50,000. Although the AP acknowledges that there is a very significant negative net operating result of € [CONFIDENTIAL], it also takes into account that [CONFIDENTIAL] has considerable financial reserves, such as [CONFIDENTIAL]. The AP refers to paragraph 56 of this decision. A fine of € 50,000 thus, in the opinion of the AP, reflects the seriousness of the violation and is effective, proportionate, and deterrent. In this context, the AP also notes that under Article 4:94 of the General Administrative Law Act (Awb), a deferral of payment can be granted and an appropriate payment arrangement can be made if requested.

38 This follows from the profit and loss account of [CONFIDENTIAL] for 2018 and 2019. For example, the (gross) operating result for the years 2017, 2018, and 2019 was € [CONFIDENTIAL], € [CONFIDENTIAL], and € [CONFIDENTIAL], respectively.

39 As of December 31, 2019, [CONFIDENTIAL] (see p. 5 Financial report 2019), [CONFIDENTIAL].

40 See CBb July 17, 2015, para. 3.7 (ECLI:NL:CBB:2015:256).

41 The demand for verifiable data, such as through an auditor's statement, has been accepted in case law. See CBb July 14, 2016, para. 7.3.2 (ECLI:NL:CBB:2016:188) and ABRvS June 23, 2010, para. 2.3.3 (ECLI:NL:RVS:2010:BM8844).

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Costs related to the handling of the objection (request pursuant to Article 7:15, second paragraph, General Administrative Law Act)

60. [CONFIDENTIAL] has requested in its objection letter to be granted compensation for the costs incurred in the objection process based on Article 7:15 of the General Administrative Law Act. The AP sees no reason to grant this request and considers the following.

61. Pursuant to Article 7:15, second paragraph, of the General Administrative Law Act, the costs that an interested party has reasonably had to incur in connection with the handling of the objection may be reimbursed. A condition for reimbursement is that the interested party must have made a request for this and that there is a revocation of the contested decision due to an unlawfulness attributable to the administrative authority. According to the AP, this last condition is not met. The reason for this is that the reason for revocation⁴² is the result of (changed) circumstances, namely the financial consequences for [CONFIDENTIAL] due to the Corona pandemic, which have occurred since the second quarter of 2020 and thus after the primary decision of December 4, 2019 was made.⁴³ These circumstances are not the result of an unlawfulness of the primary decision. There is no unlawfulness

attributable to the AP as the administrative authority.

Conclusion

57. Pursuant to Article 7:11, first paragraph, of the General Administrative Law Act, the AP has reconsidered the contested decision in light of the objections raised. In this reconsideration, the AP has assessed whether it rightly decided to impose a fine.

58. In view of the above, the AP is of the opinion that it rightly proceeded to impose the fine when making the primary decision. Nevertheless, there has been a change in relevant facts and circumstances since the primary decision that necessitates a reduction of the fine and thus a revocation of the primary decision.

42 The reduced financial capacity of [CONFIDENTIAL].

43 The financial consequences were only made clear in the pleading note of September 3, 2020, which was sent to the AP prior to the hearing in the objection.

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7.

Ruling

The Authority for Personal Data:

- declares the objection well-founded regarding the amount of the fine;
- revokes the decision of December 4, 2019, reference [CONFIDENTIAL], insofar as it concerns the amount of the fine;
- makes the following decision regarding the amount of the fine:
The AP imposes an administrative fine of €50,000 (fifty thousand euros) on [CONFIDENTIAL] for violation of Article 9, first paragraph, of the GDPR;⁴⁴
- leaves the decision in other respects in force.

Sincerely,

Authority for Personal Data,

drs. C.E. Mur

Board Member

Legal Remedies Clause

If you disagree with this decision, you may submit a notice of appeal to the court (administrative law sector) in the district where your residence is located within six weeks of the date of dispatch of the decision, pursuant to the General Administrative Law Act. You must enclose a copy of this decision.

44 The AP will refer the aforementioned claim to the Central Judicial Collection Agency (CJIB).

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ANNEX

Legal Framework

General

The AP assesses, pursuant to Article 7:11 of the General Administrative Law Act (Awb), based on your objection, whether it has rightly decided to reject your GDPR complaint in the primary decision. The

reconsideration takes place (in principle) taking into account all facts and circumstances as they are at the time of the reconsideration.

Biometric Data

Article 9, paragraph 1, of the GDPR defines special personal data as follows, insofar as relevant here: “[...] personal data revealing racial or ethnic origin, political opinions, religious or philosophical beliefs, or trade union membership, and the processing of genetic data, biometric data for the purpose of uniquely identifying a person, or data concerning health, or data related to a person's sexual behavior or sexual orientation [...]”

According to Article 4, paragraph 14, of the GDPR, biometric data are personal data resulting from specific technical processing related to the physical, physiological, or behavioral characteristics of a natural person, on the basis of which unique identification of that natural person is possible or confirmed, such as facial images or fingerprint data.

According to Article 9, paragraph 1, of the GDPR, the processing of biometric data for the purpose of uniquely identifying a person is prohibited.

Exceptions to the prohibition on processing special personal data are listed in Article 9, paragraph 2, of the GDPR, insofar as relevant here:

“Paragraph 1 shall not apply where one of the following conditions is met:

a) the data subject has given explicit consent to the processing of those personal data for one or more specified purposes, except where Union law or Member State law provides that the prohibition referred to in paragraph 1 may not be lifted by the data subject;

[...]

Consent

According to Article 4, paragraph 11, of the GDPR, consent is defined as any freely given, specific, informed, and unambiguous indication of the data subject's wishes by which he or she, by a statement or a clear affirmative action, signifies agreement to the processing of personal data relating to him or her.

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According to Article 7, paragraph 1, of the GDPR, the data controller must be able to demonstrate that the data subject has given consent to the processing of his or her personal data when the processing is based on consent. Under Article 7, paragraph 3, of the GDPR, the data subject has the right to withdraw his or her consent at any time. Before the data subject gives consent, he or she shall be informed thereof.

Administrative Fine

According to Article 58, paragraph 2, introductory phrase and under (i), in conjunction with Article 83, paragraph 5, introductory phrase and under (b), of the GDPR and Article 14, paragraph 3, of the UAVG, the AP is authorized to impose an administrative fine for violations of the GDPR.

According to Article 83, paragraph 1, of the GDPR, each supervisory authority shall ensure that the administrative fines imposed pursuant to this article for the infringements mentioned in paragraphs 4, 5, and 6 of this regulation are effective, proportionate, and dissuasive in each case. According to paragraph 2, administrative fines shall be imposed, depending on the circumstances of the specific case, in addition to or instead of the measures referred to in Article 58, paragraph 2, under (a) to (h) and under (j).

In deciding whether to impose an administrative fine and the amount thereof, due regard shall be given to the following for each specific case:

- a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing in question as well as the number of data subjects affected and the level of damage suffered by them;
- b) the intentional or negligent nature of the infringement;
- c) the measures taken by the data controller or processor to mitigate the damage suffered by data subjects;
- d) the degree of responsibility of the data controller or processor, taking into account the technical and organizational measures they have implemented in accordance with Articles 25 and 32;
- e) previous relevant infringements by the data controller or processor;
- f) the degree of cooperation with the supervisory authority to remedy the infringement and mitigate the possible adverse effects thereof;
- g) the categories of personal data affected by the infringement;
- h) the manner in which the supervisory authority became aware of the infringement, in particular whether, and if so to what extent, the data controller or processor notified the infringement;
- i) compliance with the measures referred to in Article 58, paragraph 2, insofar as they have previously been taken against the data controller or processor in question regarding the same matter;
- j) adherence to approved codes of conduct in accordance with Article 40 or approved certification mechanisms in accordance with Article 42; and

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k) any other aggravating or mitigating factor applicable to the circumstances of the case, such as financial gains made, or losses avoided, that arise directly or indirectly from the infringement.

From the fifth paragraph, introductory part and under a, it follows that an infringement of the fundamental principles regarding processing as set out in Article 9 of the GDPR is subject to an administrative fine of up to

€20,000,000 or, for an enterprise, up to 4% of the total worldwide annual turnover in the preceding financial year, whichever amount is higher.

Pursuant to Article 14, third paragraph, of the UAVG, the AP may impose an administrative fine of up to the amounts specified in these paragraphs in the event of a violation of the provisions of Article 83, fourth, fifth, or sixth paragraph, of the regulation.